



For Mid-Size Enterprises, SOA's Benefits Begin with IT

Market Segment

Mid-size enterprises are discovering the benefits of service-oriented architectures (SOA), but are more focused on using them to be more competitive and make their IT organizations more nimble. Meanwhile, large enterprises (at least \$1 billion in annual revenues) place greater emphasis on business-IT alignment, although nimbler IT and improved competitiveness are also important.

Benefits of SOA

IT Payoffs Lead to Business Payoffs

Service-oriented architecture (SOA) is being touted as the latest pill to cure the ills behind IT complexity in the organization, alignment of IT with the rest of the business, and IT spending discipline. Indeed, respondents to Aberdeen's recent survey, detailed in [The SOA in IT Benchmark Report](#) (December 2005), cite these issues among their expectations from their SOA projects. However, Aberdeen believes companies cannot expect business benefits from SOA before the IT department has been able to ascertain what SOA can do for it.

The reality for IT executives and CIOs is that the IT benefits from SOA must precede business benefits, which are a cascading effect of full-lifecycle SOA implementations. Companies that Aberdeen found as best in class in the survey (those whose practices are the best being employed and significantly superior to those of the industry norm) have more experience with SOA, and they found it lowers IT maintenance costs and enables more spending on innovation.

The 70 mid-size organizations that responded to the Aberdeen survey appear to understand this, since they place less emphasis on alignment as a reason to implement an SOA compared with large organizations and more on such IT-centric issues as managing IT integration costs, and re-using applications via web services (Table 1).

Table 1: Mid-Size Enterprises Stress IT over Business Benefits in SOA Drivers
(Notable Differences in Boldface)

	Large	Mid-Size	ALL
Alignment with the business	50%	27%	37%
Management of IT complexity	49%	39%	44%
Application re-use via Web services	40%	48%	43%
Managing IT integration costs	27%	29%	24%

Source: AberdeenGroup, December 2005

Companies must recognize that SOA's primary goal is reducing IT costs through faster and easier customization, integration, and deployment of IT capabilities. The after-effect this has on the rest of the business is simple: a more competitive business environment that is able to change and react to market and customer needs without being constrained by IT limitations. For instance, companies that have had experience in the full-cycle of SOA implementations have been able to quantify the benefits of their undertakings in three major categories: (1) speed of deployment, (2) easier integration, and (3) faster customization and updates. These categories carry cost- and time-savings elements that will spread to the rest of the business. Here is a list of benefits SOA can deliver to both IT and the business:

For IT:

- Management of IT complexity
- Re-use of applications
- Speed of IT implementations
- Lower IT integration costs

For Business:

- Faster reactions to change
- Competitiveness

For IT and Business:

- Continuous alignment of IT and business
- Lower overall cost of IT
- Lower IT maintenance costs
- Lifecycle visibility into business process management
- Development of new IT-enabled capabilities

Experience with SOA

SOA is here, but not widely distributed. Only 16% of companies that responded to the survey have had more than 24 months of experience with SOA (17% in mid-size companies), and 15% have managed or completed at least three SOA-related projects (mid-size: 13%). So, in general, SOA investments are still lukewarm. One reason is that the psychology of IT spending is still oriented toward squeezing as much as possible from the IT budget. SOA requires an investment approach to realize its benefits, especially in some of the infrastructure-related parts of its deployment. But to secure the funding, the CIO in the mid-size enterprise must first deliver fully functional SOA applications to the business, then step up and play a marketing role to demonstrate the value of an SOA and counter the two chief challenges mid-size firms face in implementing one (Table 2).

Table 2: Notable Challenges in Implementing an SOA

	Mid-Size Enterprises	Large Enterprises
Limited visibility for SOA value	42%	38%
Limited vision/support or understanding from the business side or executive leadership	32%	35%

Source: [AberdeenGroup](#), December 2005

However, mid-size CIOs may have a few advantages — some owing to their companies' relative size — to help them sell the rest of the enterprise on an SOA strategy:

- **Sufficient IT skills.** Compared with large and small organizations, mid-size enterprises are less likely (24% vs. 40% for small firms and 36% for large firms) to have limited in-house IT skills to execute an SOA project.
- **Less IT complexity.** Bigger may not necessarily be better. Only 18% of mid-size enterprises cite "too much complexity" as an SOA challenge vs. 26% for large companies (for small firms: 22%).
- **Best practices or lessons learned are easier to find.** Again, simple may be a benefit; only 23% cite a lack of best practices or lessons learned to call on, compared with 32% of large enterprises and 28% for small firms,
- **Change management is not a huge obstacle.** Only 24% of mid-size respondents cited "change management around people or existing processes" as a challenge, compared with 35% for large firms (for small firms, 29%). Again, being smaller has its advantages; having a corporate culture that is more adaptable to change is even better.

Conclusions

SOA adoption will lower the cost of IT and enable more responsiveness to business needs. The size of the SOA budget is at stake, and an enterprise must increase it to take full advantage of what SOA can offer.

Because SOA is not widely deployed, it has not yet changed the IT delivery model. That must change so the IT organization can take full advantage of what SOA promises and create a "service-oriented IT organization," which can define and deliver IT in terms of business services that line-of-business managers can understand. IT will need to decouple these business-level services from the IT-level services, but must be able to assemble them rapidly to deliver the required functionality.

SOA is, first and foremost, a technology enabler for the IT organization. But it's also a catalyst of change for how IT delivers its value to the business. CIOs are encouraged to focus on the following capabilities to begin effecting change within their organizations:

- **Take a strategic approach to SOA planning.** Multi-phased strategic projects may be more effective in raising the visibility of SOA within the organization at higher levels. CIOs must demand increased budget commitment to bring SOA's promise to fruition. Take a holistic and strategic approach for SOA planning, which will include a roadmap, transition plans, and metrics for quantifying SOA's value and results.
- **Invest in an SOA competency center.** SOA requires a concentration of knowledge and best practices that's necessary to achieve effective deployments. Lessons learned from any SOA activity are best exploited when there is a centralized approach to its management.
- **Master the new SOA technologies.** There is a handful of key SOA technology pieces the IT organization must understand well. These include the enterprise service bus, the services registry, policy governance and management, SOA infrastructure activity monitoring,

SOA Recommendations

- ✓ Take a strategic approach to SOA planning.
- ✓ Invest in an SOA competency center.
- ✓ Master the new SOA technologies.
- ✓ Develop SOA metrics.

- business process management engines, master data management and semantics building, and Web Services/XML security management.
- **Develop SOA metrics.** There is nothing better for showcasing value than the measurement and documentation of specific outcomes. These could range from the obvious — cost, productivity, and time-to-market metrics —to more SOA-specific measurements, such as re-use of a Web service, degree of services granularity (from fine to coarse), time to change a governance or usage policy, usage statistics for a given service, value of a service, and linkage of IT service to business service value.

Related Research

[*The SOA in IT Benchmark Report*](#), December 2005

[*The Service-Oriented Architecture in the Supply Chain Benchmark Report*](#), October 2005

[*SOA Success Starts with IT Success*](#), November 2005

[*The ESB in the Land of SOA*](#), December 2005

Author: William Mougayar, VP & Service Director, Technology Practice, william.mougayar@aberdeen.com, and Rick Saia, Analyst/Editor, rick.saia@aberdeen.com

Founded in 1988, **AberdeenGroup** is the technology- driven research destination of choice for the global business executive. **AberdeenGroup** has over 100,000 research members in over 36 countries around the world that both participate in and direct the most comprehensive technology-driven value chain research in the market. Through its continued fact-based research, benchmarking, and actionable analysis, **AberdeenGroup** offers global business and technology executives a unique mix of actionable research, KPIs, tools, and services.

This document is the result of research performed by **AberdeenGroup**. **AberdeenGroup** believes its findings are objective and represent the best analysis available at the time of publication. Unless otherwise noted, the entire contents of this publication are copyrighted by **AberdeenGroup**, Inc. and may not be reproduced, stored in a retrieval system, or transmitted in any form or by any means without prior written consent by **AberdeenGroup**, Inc.